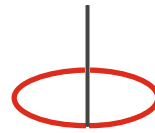


Initiating Coverage

29th September, 2022



DALAL & BROACHA
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Investment Argument:

We initiate on Greenpanel Industries with a **BUY** rating having a target price of **INR 533 (18x FY24E)** because of its market leadership in the MDF industry which is set to grow at a CAGR of 15 to 20% over the next few years. Greenpanel MDF is the market leader in India with a share of 28% and is also the leading exporter of MDF panels from India. The company undertook a debottleneck activity in FY22 and increased its capacity by ~ 22% from 5,40,000 CBM to 6,60,000 CBM in MDF. To further aid the growth, the company announced a brownfield expansion of its MDF capacity by ~35% - 2,31,000 CBM at a capex of INR 600 crores which will go into commercial production in H1FY25 having a potential revenue of INR 770 crores (~48% of FY22 topline) at current realisations. Plywood business which contributes ~14% to the topline is expected to be robust going forward. Greenpanel Industries is estimated to clock revenue/EBITDA/PAT CAGR of 17%/15%/23% over FY22-24E. At the CMP of INR 415, it is currently trading at 17x/14x FY23E/24E EPS (~24.5/29.6). The company is favorably placed to tap into the opportunity unfolding on the strength of its product led by imports substitution, growing domestic demand and exports opportunity both for MDF and readymade furniture. We remain optimistic on the structural shift happening from plywood to MDF.

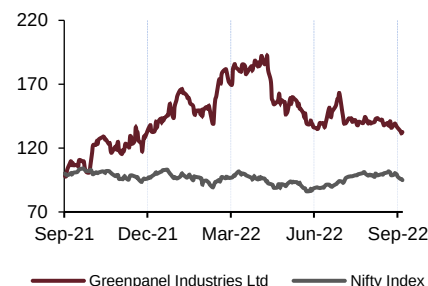
Rating	TP (Rs)	Up/Dn (%)
BUY	533	28

Market data

Current price	Rs	418
Market Cap (Rs.Bn)	(Rs Bn)	51
Market Cap (US\$ Mn)	(US\$ Mn)	628
Face Value	Rs	1
52 Weeks High/Low	Rs	625.7 / 301.05
Average Daily Volume	('000)	287
BSE Code		500187
Bloomberg		GREENP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	60.74	60.74
Public	39.76	39.76
Total	100	100

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	8,766	10,208	16,250	19,532	22,095
EBIDTA	1,378	2,034	4,304	5,097	5,672
Margins (%)	15.7	19.9	26.5	26.1	25.7
Adjusted net profit	145	688	2,405	2,999	3,627
EPS (Rs)	1.2	5.6	19.6	24.5	29.6
P/E (x)	352	74	21	17	14
EV/EBITDA (x)	41	27	12	10	9
RoCE (%)	5.87%	11.44%	28.93%	29.09%	25.57%
RoE (%)	2.19%	9.42%	25.27%	24.32%	22.99%

Source: Dalal & Broacha Research

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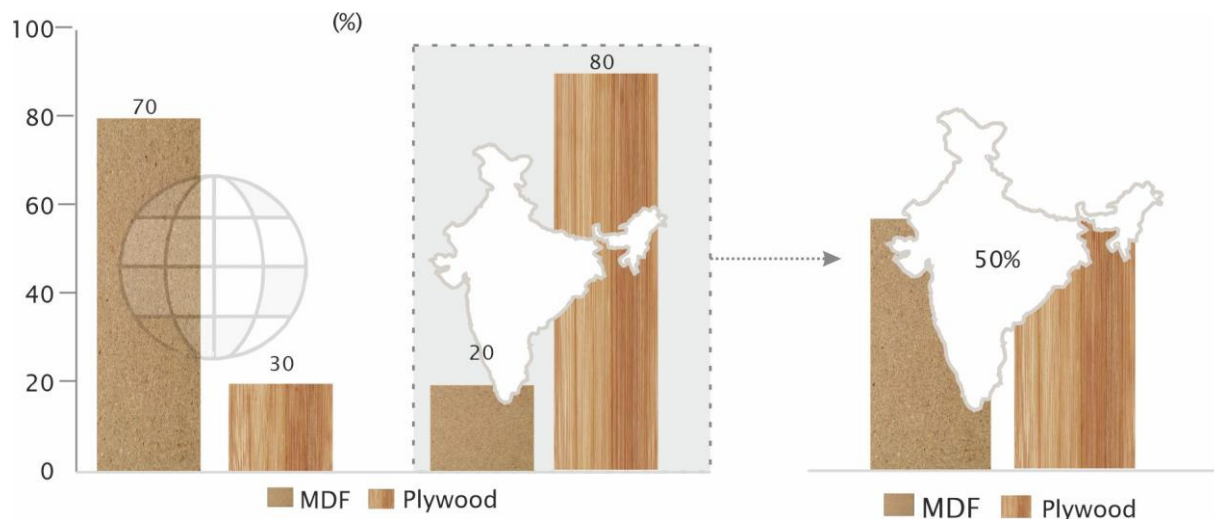
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Investment Rationale:

➤ MDF: Under penetration in India

Currently the MDF and plywood ratio across the world is nearly around 70:30; whereas in India, the ratio is approximately 20:80. According to industry experts, the MDF and plywood ratio in India is expected to become 50:50, indicating the under penetration and the strong growth potential for the MDF industry. MDF is increasingly becoming more popular and preferred in Indian markets especially post Covid-19.

Exhibit 1: Market share of MDF:Plywood globally and in India

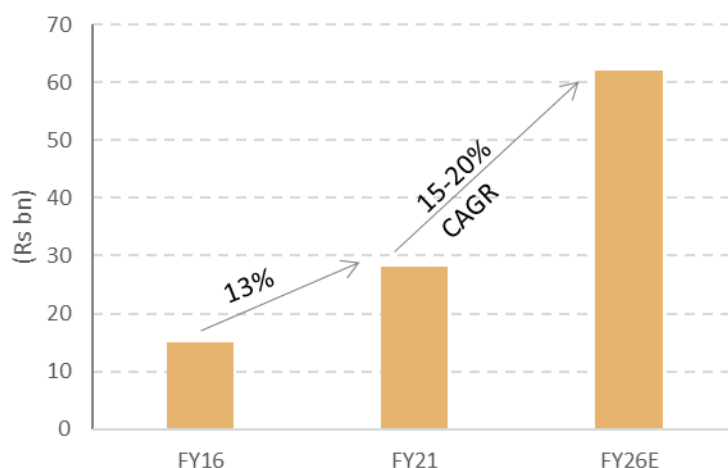


Source: Company, Dalal & Broacha Research

➤ Fastest growing category in wood panel space

The market size of MDF in India as on FY22 was INR 3,200 crores and is estimated to reach INR 6,000 crores by FY26 indicating a CAGR of 15-20%. Among the home décor segment MDF is estimated to be the fastest growing category. Revival of the real estate sector, growing consumer preference for readymade furniture, and reduction in furniture cycle time are some of the factors that are likely to drive the growth.

Exhibit 2: Fastest-growing category in wood panel industry

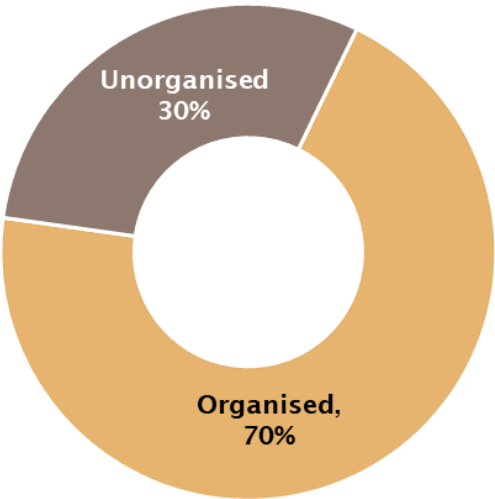


Source: Century Ply IP, Dalal & Broacha Research

➤ **Organised in nature**

The organized sector constitutes close to 70% of the MDF market size in India and the threat of unorganized sector is not a concern in this segment as it is capital intensive and the quality of the product of unorganized players is inferior to that of the organized players as they majorly use secondhand machinery which represents high barriers to entry especially for the unorganized sector.

Exhibit 3: Sector breakup

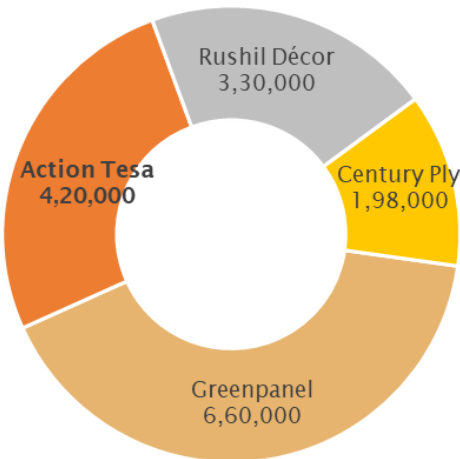


Source: Company, Dalal & Broacha Research

➤ **Largest player in MDF**

Greenpanel is the country’s largest manufacturer of MDF with a revenue market share of 28% calculation as on FY22, in addition to making allied products, such as plywood, wood floors, and veneers, among others. We expect it to maintain/gain as the size of the industry grows. Currently it is the biggest player in terms of capacity at 6,60,000 CBM as on FY22.

Exhibit 4: Capacity in FY22 amongst organised sector

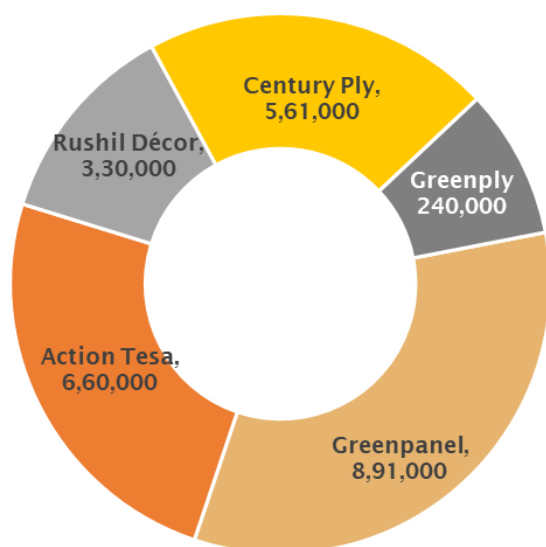


Source: Dalal & Broacha Research

➤ **Capex to drive growth**

In Q1FY23, the company announced a brownfield expansion at the Andhra Pradesh plant for the MDF segment to increase its capacity by 2,31,000 CBM at a cost of INR 600 crores with a potential revenue of INR 770 crores at the current realization levels. The commercial production will start from H1FY25 and it intends to reach 100% utilization by FY27. The capex will lift the volume growth by 35%. By FY25, the company will have a capacity of 8,91,000 CBM i.e 34% of the total capacity of the organized players in MDF. We believe that the company will look to increase its plywood capacity and diversify its product portfolio to drive further growth.

Exhibit 5: Estimated capacity in FY25

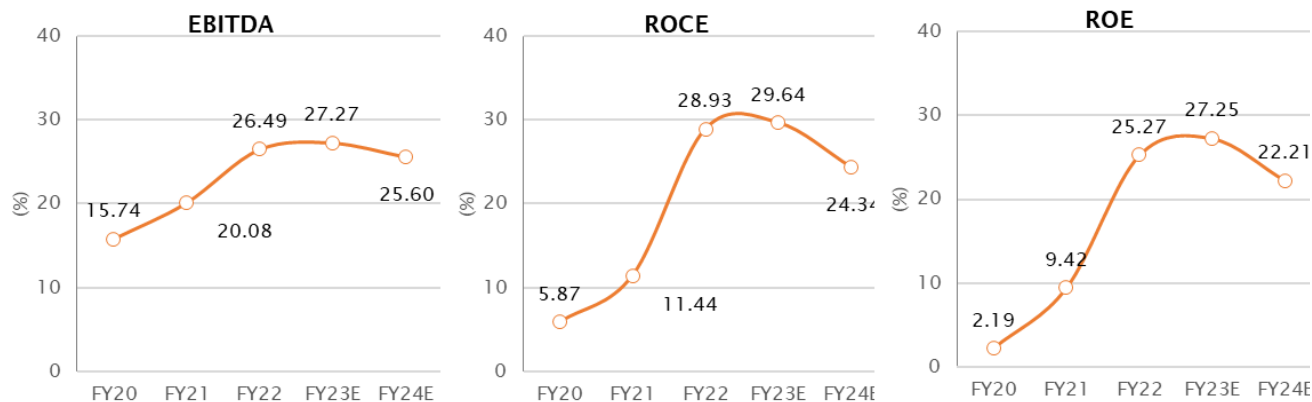


Source: Dalal & Broacha Research

➤ **MDF margins to remain under pressure, still at healthy levels**

Over FY19-22, the operating margins have improved from 13% to 27% due to robust demand, reduced imports, better capacity utilization levels and operating leverage playing its role. All the MDF companies are currently enjoying life time high margins and we believe that margins will be more or less sustained for another year. In FY24, due to capacity coming on stream from various players there could be a demand-supply mismatch and we might see a dip in realisations thereby affecting the operating margins. The margins as per management guidance of the MDF segment will be in the range of 28 to 30% (FY22 – 30%).

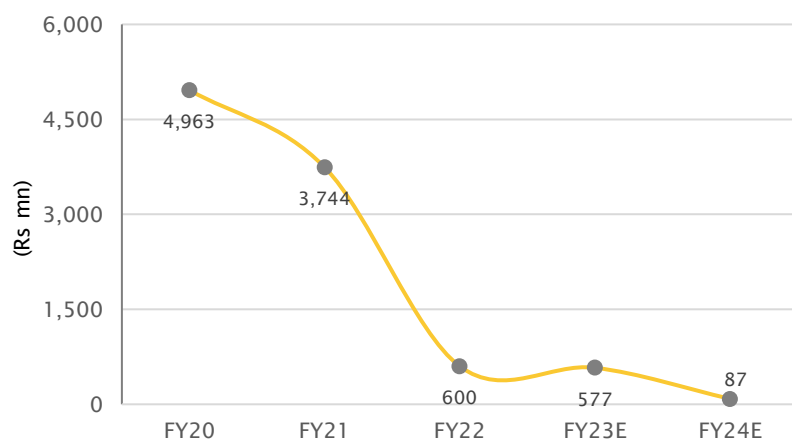
The return ratios have shown a significant improvement in the last 2 years and we expect them to be healthy going forward despite margin pressure.

Exhibit 6: Margin profile and ratios

Source: Company, Dalal & Broacha Research

➤ **Net Debt free in Q1FY23 due to strong cash flow position**

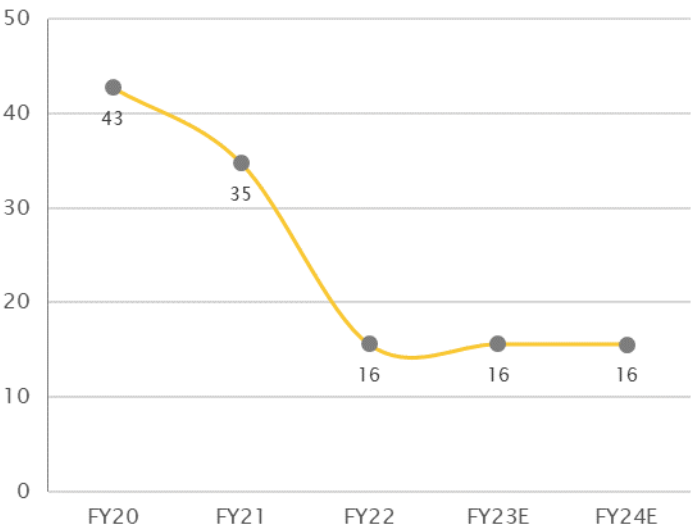
In Q1FY23, the company became net debt free as guided earlier by the management before announcing the expansion plan. The company reduced its net debt by INR 304 crores in FY22. The capex of INR 600 crores will be financed majorly by internal accruals and a foreign debt to the tune of INR 220-230 crores will be taken. The debt will be spread across the next 3 years.

Exhibit 7: Net Debt

Source: Company, Dalal & Broacha Research

- **Superior working capital management**
The company has shown a sharp improvement in their working capital cycle from 60 days in FY19 to 16 days in FY22 due to their focus on superior capital allocation. The improvement in the working capital has helped in generating robust free cashflows of INR 390 crores from FY20-22.

Exhibit 8: Working Capital Days



Source: Company, Dalal & Broacha Research

MDF Industry Overview

MDF INDUSTRY GROWTH TRIGGERS IN INDIA

MDF - A versatile and futuristic wood panel Product

- The differentiating features of MDF vis-à-vis the other variants of engineered wood are aplenty, making it a more viable consumer choice. MDF has attractive aesthetics, is easier to paint, much stronger than particleboard, has a competitive advantage over cheap plywood, can be used in various applications and is also environmentally friendly.

Growing Consumer Preference

- Increasing consumer awareness of MDF's versatile application, affordability, environment friendly and high shelf life.
- Higher aspiration for branded MDF products having properties like high density, water resistance, dimensional stability, etc
- Given the new work-from home model, consumers are aspiring for better homes with branded furniture, fueling demand for the sector.

Affordable and Durable

- The shift is happening from cheap plywood to MDF as there is not much cost difference but has far better durability and aesthetics. The life cycle of Greenpanel MDF is 10-15 years which is much higher than cheap plywood.

Online Furniture Demand Boom

- Post the covid-19 the concept of work from home has lead to a massive demand for modular furniture and those with greater aesthetics. The rise of e-commerce lead to buying more readymade furniture online which fueled demand for MDF which we believe will continue going forward.

Awareness

- The organized players are playing a huge role in increasing the awareness of the product with measures such as leveraging the digital platform, retail branding, events for architects, advertisement and increasing the distribution network.
- South India accounts for a large proportion of MDF sales but the trend has gained momentum in North India as there is a greater acceptability of the product. We believe that over the medium to long term MDF will be used across the country.

Replacing the low end plywood

- MDF is now replacing the medium/cheap, and local/unorganised plywood segment, which is about 80% of the total plywood industry. Over the next 5-7 years, the company expects a large part of the mid-segment plywood (about 50% to 60% of the plywood industry) to get converted into MDF.

For every 1.0 Indian, there are 1.04 Chinese

But for every 1.0 of plywood consumed in India, 20.0 is consumed in China But for every 1.0 of MDF consumed in India, 27.5 is consumed in China

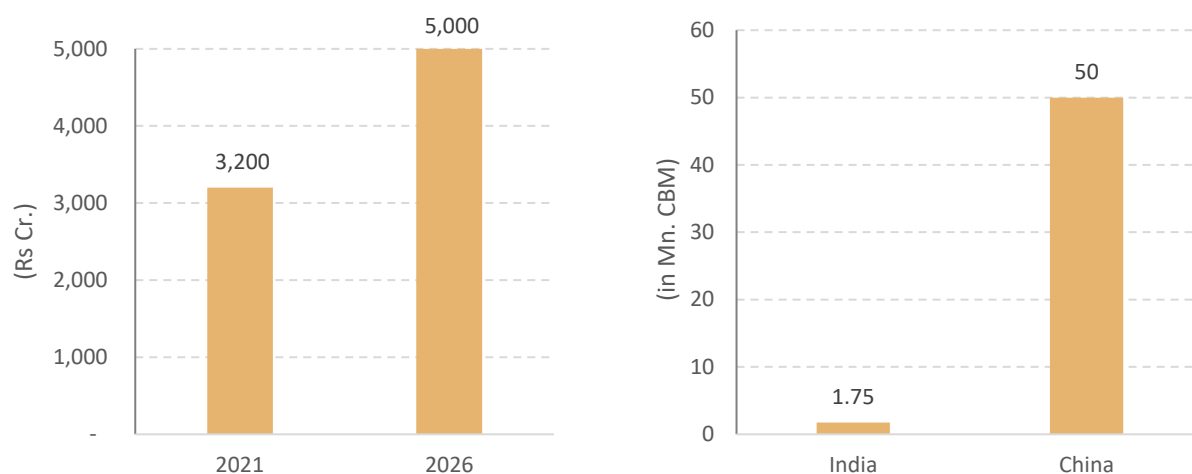
India accounts for 17% of the world's population

And yet, India accounts for 0.4% of the world's MDF production.

Source: Century Ply AR FY2022

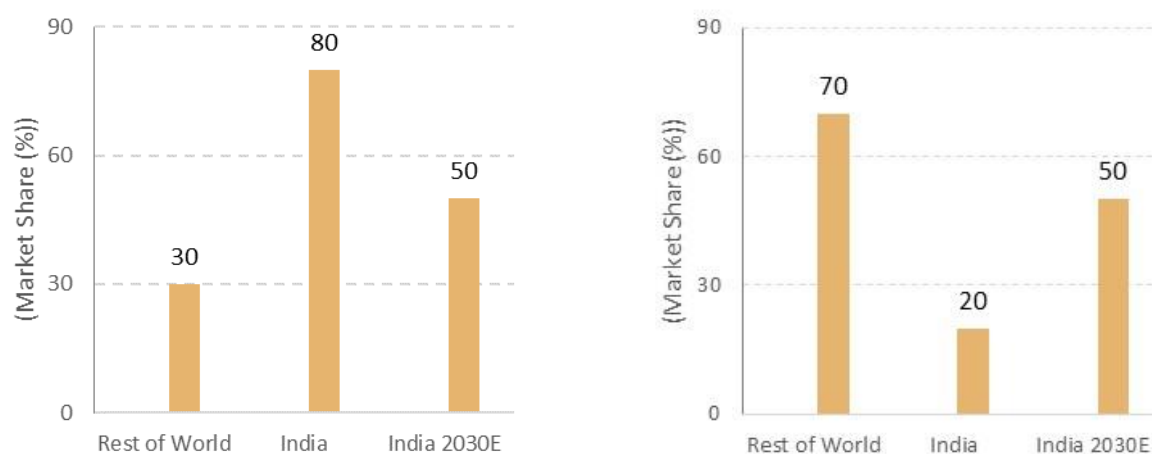
MDF Story in Charts

Exhibit 9: Size of MDF Market in India (Rs Cr.) & MDF Consumption



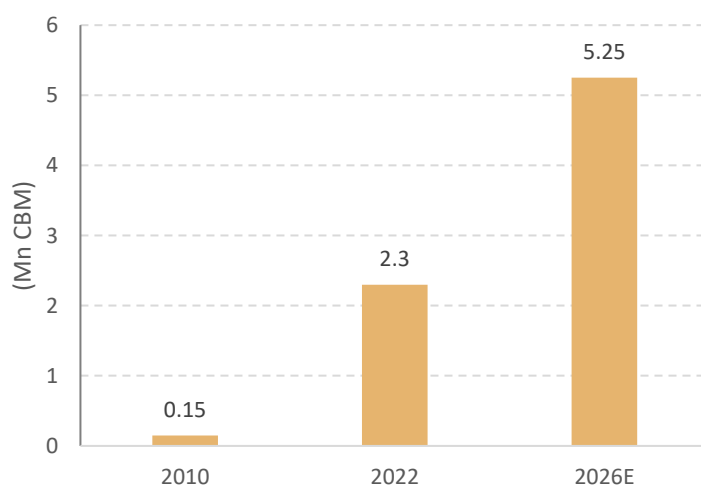
Source: Company, Dalal & Broacha Research

Exhibit 10: Ply and MDF share



Source: Company, Dalal & Broacha Research

Exhibit 11: Industry Size (Million CBM)



Source: Company, Dalal & Broacha Research

Peer comparison in MDF segment

Comparison on Key Metrics

Greenpanel Industries

	FY19	FY20	FY21	FY22
Capacity (CBM)	5,40,000	5,40,000	5,40,000	*5,63,000
Production	2,10,818	3,26,680	3,71,347	4,89,335
Cap Utilisation (%)	39.04	60.50	68.77	86.92
Realisation/CBM	21,614	19,419	20,585	26,850
EBITDA Margin (%)	11.90	18.20	23.00	30.90

* 1,20,000 added in Q4 , proportionate capacity

Century Ply

	FY19	FY20	FY21	FY22
Capacity (CBM)	1,98,000	1,98,000	1,98,000	1,98,000
Production	1,32,229	1,53,175	1,47,251	1,77,936
Cap Utilisation (%)	66.78	77.36	74.37	89.87
Realisation/CBM	22,320	22,874	24,396	31,215
EBITDA Margin (%)	13.00	24.70	25.80	31.70

Rushil Décor

	FY19	FY20	FY21	FY22
Capacity (CBM)	90,000	90,000	*1,10,000	3,30,000
Sales volume	79,585	83,952	77,520	1,76,545
Cap Utilisation (%)	88.43	93.28	70.47	61.45
Realisation/CBM	19,408	19,733	20,041	24,416
EBITDA Margin (%)	10.44	13.56	11.62	14.82

*2,40,000 CBM capacity added in the last month of FY21

Analysis:

We have seen the Indian MDF players operating margins improve drastically in the last few years due to higher realisations which was due to better pricing power contributed by factors such as increase in domestic demand, reduction in imports, higher utilization levels and increase in share of value added products. We believe that the operating margins in the MDF segment (~34% in Q1) has peaked out and it shall be normalised from next year due to large capacity coming onstream (~1.34 mn CBM) from organized players. The drop in operating margins will not be as sharp as it was in FY19 because during that time when the capacity addition happened imports constituted 30% of total demand which led to lower levels of utilization levels. The situation this time is different as the demand will be much better and imports will be because the major exporters from Vietnam and Indonesia have diverted their MDF production to USA for making furniture. As per management commentaries of various MDF players the EBITDA margin should be in the range of 25 to 30% over the medium term.

The value added products contributed to 48% of the total domestic volume and 60% in value terms in FY2022 for Greenpanel Industries.

Valuation & Outlook:

We believe that the structural shift taking place in India from cheap/mid plywood to MDF will benefit Greenpanel Industries who has the highest revenue market share (~28%) and is also the largest exporter of MDF from India. Even in terms of capacity it accounts for 41% of the capacity in the organized sector as on FY22. The real estate industry is the key growth driver for the entire wood panel space and MDF is set to grow the fastest in the coming years. The company is favorably placed to tap into the opportunity unfolding on the strength of its product led by imports substitution, growing domestic demand and exports opportunity both for MDF and readymade furniture.

The management expects medium/low plywood (80%) which constitutes majority part of the total plywood industry (22,000 crs) is set to be replaced by MDF over the medium term.

The potential market size for MDF is 60% of medium/low plywood market size i.e 10,500 crores which is ~3x of the current market size.

Greenpanel Industries is estimated to clock **revenue/EBITDA/PAT CAGR of 17%/15%/23%** over FY22-24E. At the CMP of INR 415, it is currently trading at **17x/14x FY23E/24E EPS (~24.5/29.6)**. Due to the possible margin pressure going forward, we assign a 18x P/E multiple on Mar'24 estimate and arrive at a **target price of INR 533**, implying an upside of 29%.

Key Risks

Covid-19 related uncertainty: The pandemic impacted sales adversely in Q1FY21 and Q1FY22. Any resurgence in the number of cases can dampen impact sales once again.

Excessive competition in MDF: Many players are looking to expand capacity, including majors Action Tesa, Century Plyboards and Greenply Industries. In the wake of such large capacity additions, the industry could face some pricing pressure till the market absorbs new capacity—refreshing memories of the situation in FY18 and FY19.

Sustained slowdown in realty sector: Over the past three-four years, growth of home décor companies was largely impacted due to slowdown in real estate activity. Recently demand has been rising given pick-up in real estate activity. However, any slowdown again can take a toll on earnings estimates across companies.

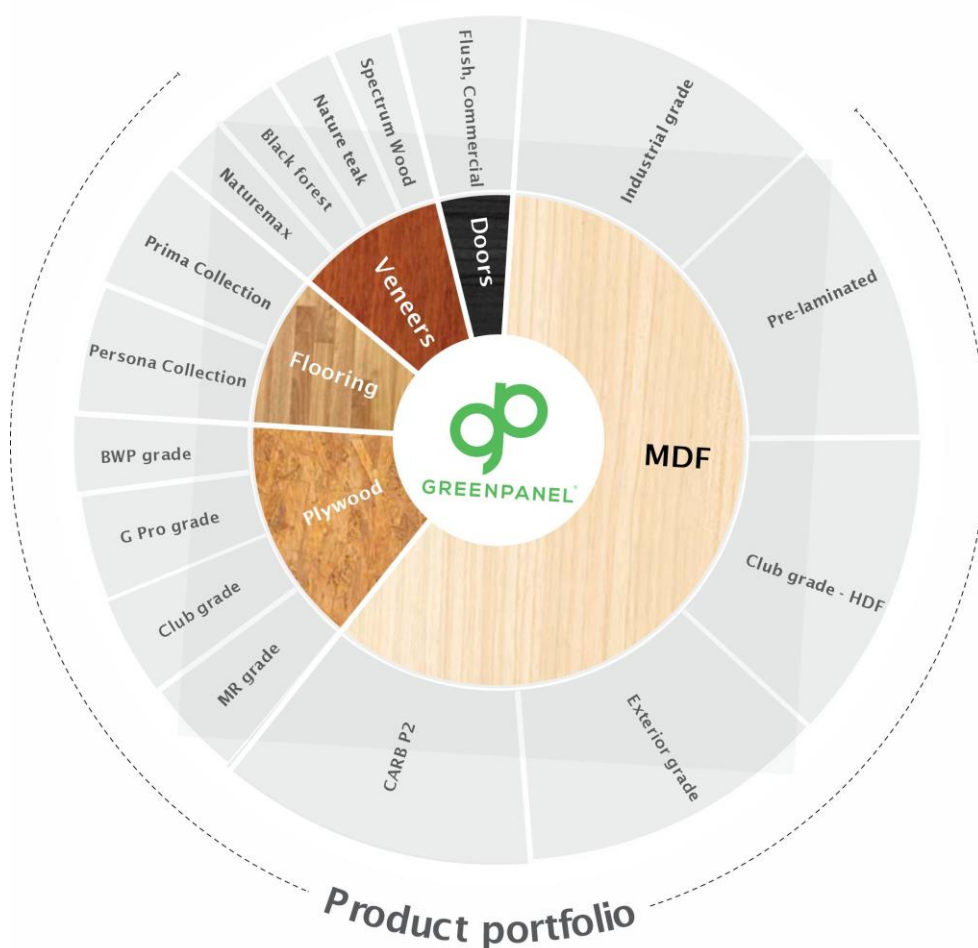
Foreign exchange fluctuation risk: Given its substantial exports, dependency on import of raw materials (design paper for pre-laminated MDF) and high reliance on foreign currency borrowings, Greenpanel is exposed to FX risk. However, such risk is largely covered either through natural hedging or through currency hedging undertaken by the company. Furthermore, the company has prepaid EUR8.90mn along with a regular instalment of EUR2.23mn in October (aggregating to EUR11.1mn), thereby reducing the forex risk on our foreign currency borrowings.

INR appreciation: MDF imports used to make up ~30% of domestic consumption prior to covid-19. Due to container availability issues and higher freight rates, MDF imports for the industry have dipped below 10%. However, significant INR appreciation could make imports competitive and delay absorption of capacity additions in the domestic market.

ABOUT THE COMPANY:

Greenpanel Industries was incorporated in December 2017. On April 1, 2018, the erstwhile MDF division of Greenply Industries was demerged and divested into Greenpanel Industries. The spun-off Greenpanel was listed independently on the stock exchanges on October 23, 2019. Greenpanel has MDF manufacturing operations at Pantnagar in Uttarakhand and Chittoor in Andhra Pradesh with combined installed capacity of 660,000 CBM. The company also has a plywood manufacturing facility with installed capacity of 10.5 million square meters at Patnagar. The product offerings of the company include decorative veneer, flooring and door.

Exhibit 12: Product portfolio



Source: Company, Dalal & Broacha Research

Exhibit 13: Capacity of Greenpanel Industries:

	Location	Capacity
Plywood unit	Uttarakhand	10.5 Mn SQM
MDF unit , Uttarakhand	Uttarakhand	2,16,000
MDF unit , Andhra Pradesh	Andhra Pradesh	4,44,000

Source: Company, Dalal & Broacha Research

➤ Distribution and Brand Distribution

Even though the company demerged in 2018, the company will be bringing its old distribution network under its new de-merged company. As of FY22, the company has 2,535 dealers PAN India and 12,500+ retailers PAN India.

➤ Revenue Mix between MDF and Plywood

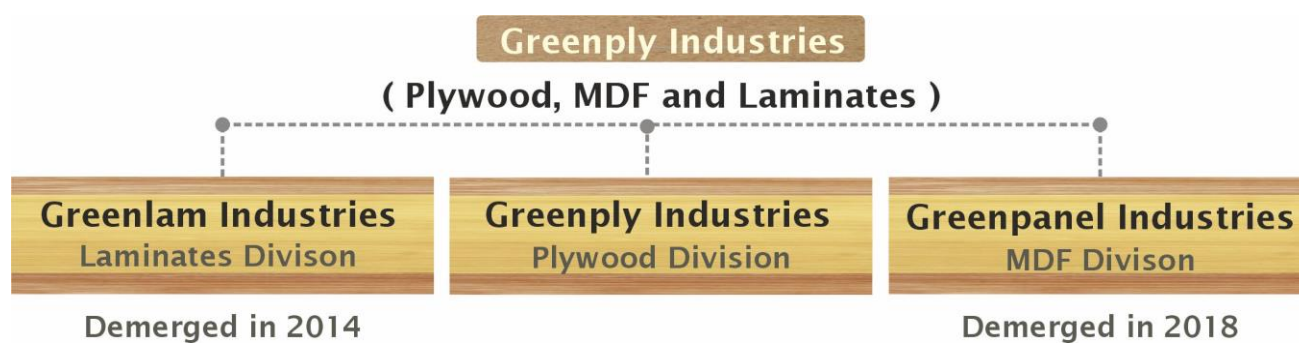
	FY20	FY21	FY22	FY23E	FY24E
MDF (%)	74	78	84	87	88
Plywood (%)	26	22	16	13	12

➤ Key Managerial Personnel

Name	Title	Key Highlights
Mr. Shiv Prakash Mittal	Executive Chairman	He holds a Bachelor's degree in Science from the University of Calcutta. He was one of the founders of Greenply Industries Limited. He was associated with Kitply Industries Limited for 21 years. He has over 30 years of experience in the fields of production and marketing in plywood, laminates, MDF and allied products
Mr. Shobhan Mittal	MD & CEO	He is a Bachelor of Business Administration, and was Joint Managing Director & CEO of Greenply Industries Ltd. With over ten years of experience in Business Administration and Marketing Strategy, he was instrumental in setting up the MDF units at Pantnagar and Chittoor. After successfully streamlining the Pantnagar unit, he has been involved in streamlining operations at the Chittoor unit.
Mr. Salil Kumar Bhandari	Independent Director	He is FCA qualified and graduated from Shri Ram College of Commerce, Delhi University, and has a Diploma in Business Administration from the All India Council for Management Studies, Chennai. He is Founder and Managing Partner of BGJC & Associates LLP, an audit and management consulting firm in New Delhi. He was a Managing Committee member at ASSOCHAM. He was a Member of Advisory Committee, Dept. of Company Affairs, Government of India.
Mr. Mahesh Kumar Jiwrajka	Independent Director	He is an Indian Forest Service officer, Maharashtra cadre (March 1, 1977 to March 31, 2009) and opted for voluntary retirement from 31 March, 2009. His prior assignments include Inspector General of Forests & Head North- East Cell, Ministry of Environment & Forests, and Government of India.
Mr. Sushmita Singh	Independent Director	She is a postgraduate in English from the Patna University, has done a Diploma in Urban Town Planning from the Human Settlement Management Institute, New Delhi, as well as a certification course in Enhancement of Managerial Capability from the Indian Institute of Management, Lucknow. Besides, holding Directorships in several companies and their committees, Ms. Singha has been actively involved in several social organisations and government initiatives
Mr. Arun Kumar Saraf	Independent Director	He is a Chartered Accountant by qualification, has been practicing as a Tax Consultant for over 33 years. He had been managing income tax-related matters for over 250 companies across Kolkata, Bangalore and Mumbai. Besides, he has been appointed as a Director at Loyalie IT-Solutions Private Limited.
Ms. Shivpriya Nanda	Independent Director	She is a Lawyer by profession, aged about 59 years, and has over 30 years of extensive experience in mergers and acquisitions, corporate restructuring, strategic joint ventures, and corporate advisory. She is a member of Bar Council of Delhi, International Bar Association, Interpacific Bar Association and American Bar Association. She has also written and published various articles related to legal, regulatory and contractual issues. She has been appointed with effect from July 6, 2022.
Mr. Vishwanathan Venkatramani	CFO	He is a Chartered Accountant with over three decades of experience in Finance, Accounting and Taxation functions. He is the CFO of Greenpanel and heads the corporate functions of Finance, Accounts, Secretarial and Taxation. He was the Finance Controller of MKJ Enterprises Limited.

Source: Company, Dalal & Broacha Research

Structure of the business



➤ Shareholding Pattern (%)

	Dec-22	Mar-22	Jun-22
Promoters	53.10	53.1	53.1
Public Shareholders			
- MF	21.33	20.02	20.07
- AIF	1.03	0.71	0.92
- FPI	3.73	5.84	6.27
- Insurance companies	0.50	0.51	0.46
- Others	20.31	19.82	19.18

Source: Company, Dalal & Broacha Research

FINANCIALS

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	8,766	10,208	16,250	19,532	22,095
Total Operating Expenses	3,919	4,629	6,709	7,813	8,838
Employee Cost	989	979	1,284	1,460	1,635
Other Expenses	2,480	2,566	3,953	5,162	5,950
Operating Profit	1,378	2,034	4,304	5,097	5,672
Depreciation	692	686	734	746	761
PBIT	686	1,347	3,571	4,351	4,910
Other income	22	34	90	156	129
Interest	483	372	171	160	203
PBT	225	1,010	3,489	4,347	4,836
exceptional)	225	1,010	3,489	4,347	4,836
Provision for tax	(28)	322	1,085	1,348	1,209
Reported PAT	145	688	2,405	2,999	3,627
MI	-	-	-	-	-
Net Profit	145	688	2,405	2,999	3,627
Adjusted Profit	145	688	2,405	2,999	3,627

Balance Sheet (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Equity capital	123	123	123	123	123
Reserves	6,494	7,181	9,394	12,209	15,653
Net worth	6,616	7,304	9,516	12,332	15,775
Non Current Liabilites	5,066	4,388	2,790	2,702	3,114
Current Liabilites	2,976	2,860	3,117	3,287	3,795
TOTAL LIABILITIES	14,658	14,552	15,424	18,321	22,684
Non Current Assets	11,489	11,000	10,561	13,197	15,955
Fixed Assets	11,168	10,778	10,382	12,991	15,730
Goodwill	-	-	-	-	-
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	-	-	-	-	-
Other Financial Assets	144	146	170	197	216
Other Non Current Assets	177	76	9	9	9
Current Assets	3,169	3,553	4,863	5,124	6,728
Current investments	-	-	-	-	-
Inventories	1,539	1,494	1,658	1,993	2,255
Trade Receivables	705	778	414	498	529
Cash and Bank Balances	115	725	2,226	2,049	3,340
Short Term Loans and Advances	10	4	7	7	7
Other Current Assets	800	552	557	576	597
TOTAL ASSETS	14,658	14,552	15,424	18,321	22,684

FINANCIALS

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	145	688	2,405	2,999	3,627
Add: Dep. & Amort.	692	686	734	746	761
Cash profits (Inc)/Dec in	836	1,374	3,138	3,745	4,389
Sundry debtors	(249)	(72)	363	(84)	(31)
Inventories	(194)	45	(165)	(335)	(262)
Other financial assets	(142)	81	99	(27)	(20)
Other Current Assets	179	273	(64)	(19)	(21)
Current Liab and Provisions	(501)	(274)	220	3	16
Sundry Creditors	391	90	81	278	104
Change in working capital	(517)	142	534	(183)	(214)
CF from Oper. activities	319	1,517	3,672	3,562	4,174
CF from Inv. activities	(447)	(297)	(337)	(3,355)	(3,500)
CF from Fin. activities	44	(610)	(1,834)	(384)	616
Cash generated/(utilised)	(83)	610	1,501	(177)	1,290
Cash at start of the year	199	115	725	2,226	2,049
Cash at end of the year	115	725	2,226	2,049	3,340

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	15.72%	19.92%	26.49%	26.10%	25.67%
NPM	1.65%	6.72%	14.72%	15.23%	16.32%
Tax Rate	-12.20%	31.85%	31.09%	31.00%	25.00%

Growth Ratios (%)

Net Sales	46.31%	16.45%	59.20%	20.20%	13.12%
Operating Profit	78.10%	47.61%	111.65%	18.42%	11.28%
PBIT	82.06%	347.81%	245.58%	24.58%	11.26%
PAT	-58.18%	375.84%	249.47%	24.73%	20.94%

Per Share (Rs.)

Net Earnings (EPS)	1.18	5.61	19.61	24.46	29.59
Cash Earnings (CPS)	6.82	11.21	25.60	30.55	35.80
Dividend	0.00	0.00	0.15	0.15	0.15
Book Value	53.97	59.57	77.62	100.59	128.67
Free Cash Flow	4.27	14.16	28.93	4.01	8.38

Valuation Ratios

P/E(x)	351.85	73.94	21.16	16.96	14.03
P/B(x)	7.69	6.97	5.35	4.13	3.23
EV/EBIDTA(x)	40.53	26.86	11.96	10.10	8.99
Div. Yield(%)	-	-	0.04	0.04	0.04
FCFF Yield(%)	1.03	3.41	6.97	0.97	2.02

Return Ratios (%)

ROE	2.19%	9.42%	25.27%	24.32%	22.99%
ROCE	5.87%	11.44%	28.93%	29.09%	25.57%

Source: Company, Dalal & Broacha Research

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